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OVERALL ANALYSIS OF A COUNTRY'S ECONOMIC SITUATION

The article addresses the issue of conducting a comprehensive economic analysis applicable to any country, enabling cross-country comparisons and facilitating informed conclusions. A generalized block diagram of a national economy is presented in Fig. 1.

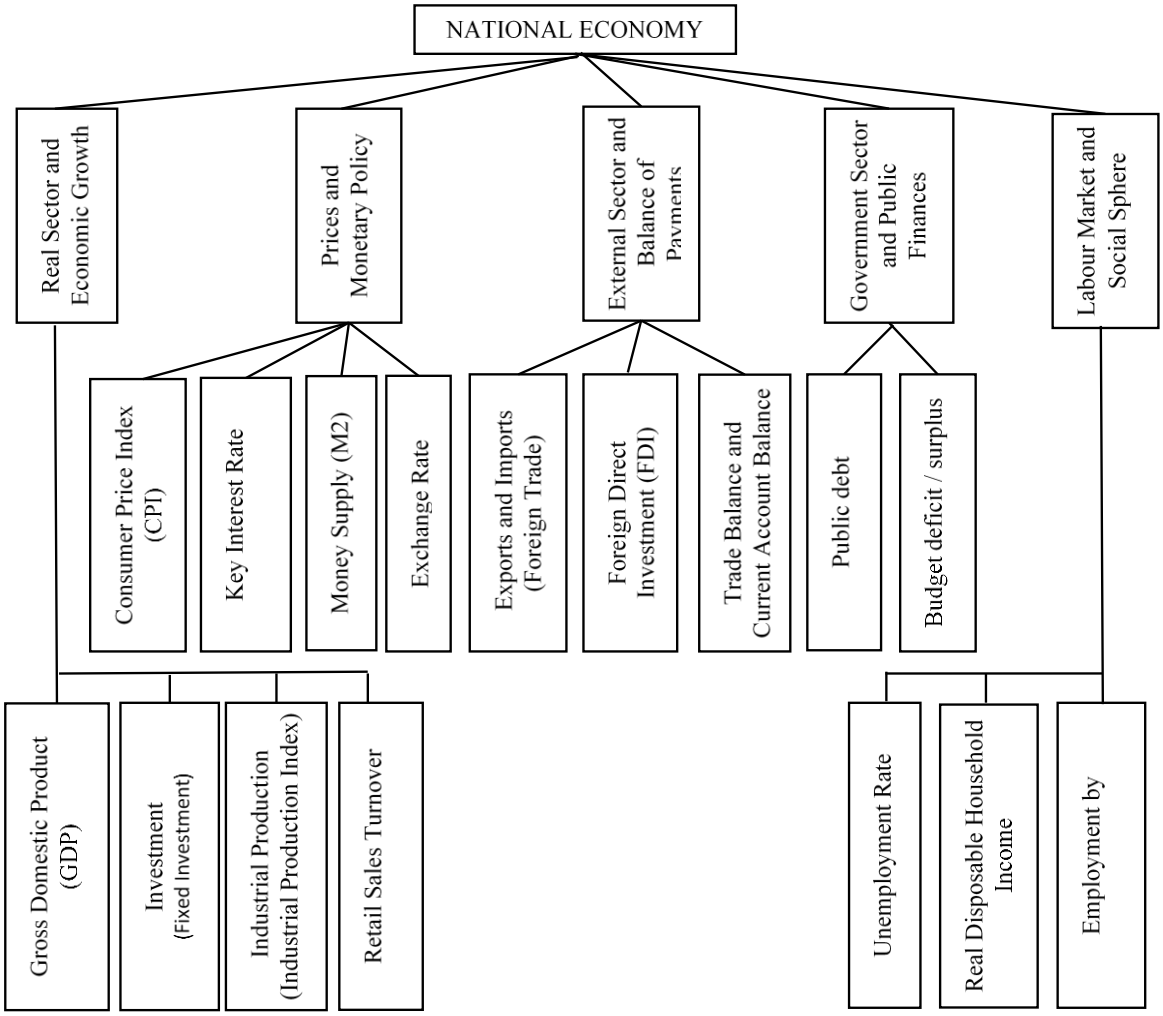


Fig. 1. Generalized block diagram of a national economy

1.1. Key Criteria for Assessing a Country's Economic Situation (Based on International Sources)

A country's economic situation constitutes a composite assessment derived from a system of macroeconomic indicators. International organizations such as the **International Monetary Fund (IMF)**, the **World Bank**, the **Organisation for Economic Co-operation and Development (OECD)**, and **Eurostat** have developed standardized indicator frameworks to monitor economic performance and identify macroeconomic imbalances [2, 3].

1. Gross Domestic Product (GDP) and Its Dynamics

Gross Domestic Product (GDP) represents the market value of all final goods and services produced within a country's territory over a specified period. This indicator serves as the primary metric for evaluating the level and growth trajectory of an economy [1]. For cross-country comparisons, **GDP per capita at purchasing power parity (PPP)** is used, as it enables assessment of economic development levels independently of exchange rate fluctuations [1, 6].

According to the Methodology for Assessing National Creditworthiness, GDP allows policymakers and analysts to:

- measure the volume of economic output at any given point in time;
- track trends and formulate forecasts for future economic development;
- design and implement national economic policy [1].

Key Indicators:

- Gross Domestic Product (GDP) volume (in current and constant prices);
- GDP growth rates (annual and quarterly);
- GDP per capita at purchasing power parity (PPP) [1, 6].

2. Current Account and External Balance

The current account is a key indicator of a country's external economic position. It encompasses all non-financial transactions in goods, services, primary income, and secondary income between residents and non-residents [2].

Under the European Commission's Macroeconomic Imbalance Procedure (MIP), the following threshold values have been established [2]:

Current account balance: 3-year moving average as a percentage of GDP — threshold values: +6% and –4% [2];

Net international investment position (NIIP): as a percentage of GDP — threshold value: –35% [2, 3].

The trade balance reflects the ratio of exports to imports of goods. A positive balance indicates strong international demand for the country's products [3].

3. Inflation Rate

Inflation is a key macroeconomic indicator that affects financial stability, the ability of businesses to engage in long-term planning, and the economy as a whole. High inflation leads to losses for economic agents, whose reluctance to make investment decisions negatively impacts overall economic activity [5, 7].

According to the IMF, global inflation in 2026 remains under pressure due to geopolitical risks. As stated in the World Economic Outlook 2026 report, inflation in emerging market economies is showing an upward trend (for example, Pakistan's inflation forecast has risen from 4.5% to 7.2%) [5, 7].

4. Labour Market (Unemployment Rate)

The unemployment rate is a key indicator of socio-economic development. Under the European Commission's macroeconomic scoring framework, the threshold value for this indicator is set at 10% of the labour force aged 15–74 [2].

Persistently high unemployment signals potential inefficiencies in resource allocation and a general inability of the economy to adapt [2]. The following supplementary indicators are also monitored [2, 3]:

- Labour force participation rate (threshold: decline of 0.2 percentage points over 3 years);
- Long-term unemployment rate;
- Youth unemployment rate.

5. Government Budget Position

Budget sustainability analysis includes an assessment of public debt and fiscal resilience. Under the Maastricht criteria of the European Union, the threshold for the ratio of government debt to GDP is set at 60% [2, 3].

A high level of public debt constrains the government's fiscal space, as a significant share of annual revenues must be allocated to interest payments, potentially impeding the implementation of countercyclical policies [3].

6. Private Sector Debt

To identify internal imbalances, private sector debt indicators are used [2]:

Household debt (including non-profit institutions serving households): threshold — 55% of GDP [2];

- Non-financial corporations' debt: threshold — 85% of GDP [2];
- Household credit flow: threshold — 14% of debt stock [2];
- Non-financial corporations' credit flow: threshold — 13% of debt stock (excluding FDI*) [2].

** FDI stands for Foreign Direct Investment. It refers to capital invested by an entity (a company or individual) from one country into a business located in another country. The primary objective of FDI is not merely to earn a return, but to acquire long-term control and the ability to influence the management of the enterprise* [3, 4, 5, 6].

Table 1.

Comprehensive Overview: Macroeconomic Imbalance Procedure (MIP) Threshold Values and Their Significance [3, 14, 15]

No.	Indicator	Threshold Value	Economic Rationale
1	**Current account balance**	3-year moving average: **+6% to –4% of GDP**	Persistent large surpluses or deficits signal external imbalances and potential vulnerability to external shocks.
2	**Net international**	**–35% of GDP**	A highly negative NIIP indicates excessive external liabilities and

	investment position (NIIP)		heightened risk of capital flow reversal.
3	**Government debt-to-GDP ratio**	**60% of GDP** (Maastricht criterion)	High public debt limits fiscal space and increases vulnerability to interest rate shocks.
4	**Unemployment rate**	**10% of labour force (aged 15–74)**	Persistently high unemployment reflects structural inefficiencies and weak labour market absorption capacity.
5	**Labour force participation rate**	Decline of **≥0.2 percentage points over 3 years**	Falling participation may signal discouraged workers or demographic/structural rigidities.
6	**Long-term unemployment rate**	Not quantified (monitored qualitatively)	Indicates deep scarring effects and reduced re-employability of workers.
7	**Youth unemployment rate**	Not quantified (monitored qualitatively)	High youth joblessness risks long-term social exclusion and human capital depreciation.
8	**Household debt** (incl. NPISH)	**55% of GDP**	Excessive household indebtedness increases vulnerability to income or interest rate shocks.
9	**Non-financial corporations' debt**	**85% of GDP**	High corporate leverage may amplify financial instability during downturns.
10	**Household credit flow**	**14% of debt stock**	Rapid credit growth relative to existing debt signals potential overheating in consumption.

	Non-financial corporations' credit flow	**13% of debt stock** (excluding FDI)	Surges in corporate borrowing (not driven by FDI) may reflect speculative behaviour or misallocation.

Notes:

- NPISH = Non-Profit Institutions Serving Households
- FDI = Foreign Direct Investment
- Thresholds are based on the European Commission's **Alert Mechanism Report (2025)** and **MIP Scoreboard methodology**.
- Qualitative indicators (e.g., long-term unemployment) trigger in-depth reviews even without fixed numerical thresholds.

7. Human Development Index (HDI)

The Human Development Index (HDI) is a composite indicator developed by the **United Nations Development Programme (UNDP)** for cross-country comparisons. The HDI measures a country's average achievements in three fundamental dimensions of human development [12, 13]:

- A long and healthy life, measured by life expectancy at birth [13];
- Knowledge, measured by expected years of schooling (for school-age children) and mean years of schooling (for adults aged 25 and older) [13];
- A decent standard of living, measured by Gross National Income (GNI) **per capita at purchasing power parity (PPP)** [13].

The HDI is calculated as the **geometric mean** of the normalized indices for each of the three dimensions. The index ranges from **0 to 1**, with higher values indicating a higher level of human development [12].

Concluding Summary

Based on international practice, the following indicators are widely recognized as the core characteristics of a national economy's condition:

- GDP growth rates,
- Inflation rate,
- Unemployment rate,
- Government budget position,
- Current account balance,
- Private sector debt [2, 3, 8].

Data on these indicators are regularly published in the databases of the **IMF** (*World Economic Outlook*), the **World Bank** (*World Development Indicators*), and **Eurostat**, enabling cross-country comparisons and facilitating the early identification of macroeconomic risks [2, 6, 8, 10].

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